

# Amazon.com, Inc.

AMZN NASDAQ

|     |                  |                              |                                      |                       |
|-----|------------------|------------------------------|--------------------------------------|-----------------------|
| Buy | \$262.65 ▼ 0.94% | 12M Price Target<br>\$310.00 | 52-Week Range<br>\$196.00 – \$287.20 | Market Cap<br>\$2.83T |
|-----|------------------|------------------------------|--------------------------------------|-----------------------|

## AMZN: Five-Day Slide as Consumer Worries Meet AI Spending Fears

### WHAT HAPPENED

- AMZN is down five straight days — from \$278 to \$262 — and today's Goldman note about consumer spending fading as tax refunds run out is the fresh excuse. Translation: Wall Street is starting to worry the US shopper is tapped out heading into back-to-school and holiday, which hits Amazon's retail engine directly.
- The 24/7 Wall St. piece framing Amazon as a "squeezed hyperscaler" with a cash flow problem is the other overhang. "Hyperscaler" just means the giant cloud companies (AWS, Azure, Google Cloud) — and the market is increasingly nervous they're spending tens of billions on AI data centers without proof the revenue justifies it.

### WHY IT MATTERS

Here's the tension: the options market is loudly bullish (put/call ratio of 0.58, with big call buying at \$230–\$240 strikes — meaning traders are betting the stock stays well above those levels), but the tape is telling you the opposite short-term. That gap usually resolves one of two ways — either the stock finds a floor here and rips on the next positive AWS data point, or we get one more flush toward \$250 that scares out weak hands. The Bezos sell of \$346M on Aug 3 near the highs looks prescient in hindsight but is programmatic (10b5-1 plan), so don't read too much into it. Bigger picture: with the stock at 73% of its 52-week range and consumer worries stacking up, this is starting to look like a "buy the fear" setup rather than a "chase the breakout" one — but you want to see the bleeding stop first.

### POLICY & POLITICAL WATCH

Two political threads matter right now: (1) tariff policy on Chinese goods remains the sword hanging over Amazon's third-party seller marketplace — roughly half of GMV comes from sellers who source heavily from China, so any escalation squeezes margins or forces price hikes that hurt volumes. (2) The FTC's antitrust case against Amazon is still grinding through the courts, and any adverse ruling on Prime bundling or third-party seller practices would be a real structural hit. On the tailwind side, federal AI infrastructure spending and defense cloud contracts (JWCC) continue to favor AWS — that's a slow-burn positive that doesn't show up in any single quarter but compounds.

### IS IT EXPENSIVE?

### Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$262.65 |
| 12M Price Target    | \$310.00 |
| Upside / (Downside) | +18.0%   |
| Market Cap          | \$2.83T  |
| FY2026E Revenue     | \$715M   |
| FY2027E Revenue     | \$790M   |
| FY2026E EPS         | \$6.85   |
| FY2027E EPS         | \$8.20   |
| Fwd P/E             | 38.3x    |

### INVESTMENT PROFILE



### 12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$285.00  | \$268.00  | \$250.00  |
| 6 Months  | \$310.00  | \$285.00  | \$240.00  |
| 1 Year    | \$340.00  | \$310.00  | \$230.00  |
| 2 Years   | \$400.00  | \$355.00  | \$245.00  |
| 5 Years   | \$550.00  | \$450.00  | \$275.00  |
| 10 Years  | \$900.00  | \$650.00  | \$300.00  |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Energy (+7.7% over 5 days) is ripping — likely a mix of oil supply concerns and the rotation out of crowded growth/AI names. Utilities catching a bid too, which is classic defensive rotation when people get nervous about the consumer.

**COOLING OFF:** Mega-cap tech and consumer discretionary — Amazon sits at the crossroads of both, which is why it's getting hit from two sides this week.

**ROTATION WATCH:** Money is quietly moving from "AI winners" into energy, defensives, and value. That's a warning sign that positioning in names like AMZN is getting reassessed — not panic, but a real rotation.

**RELATED PLAY:** If the AI capex fears prove overblown, the picks-and-shovels names (data center REITs like EQIX, DLR, and power infrastructure plays) benefit alongside AMZN — arguably with less consumer risk baked in.

WHO'S WINNING IN THIS SPACE?

- XOM/CVX (Energy majors): riding the sector's +7.7% five-day rip on supply tightness and defensive rotation.
- Utilities broadly: the AI power-demand story keeps giving them a bid even in risk-off tape.

**AMZN CONTEXT:** Amazon is lagging the tape hard this week — that's not company-specific, it's the "expensive hyperscaler with consumer exposure" trade unwinding. The lag is actually informative: if AMZN can stop going down while energy keeps ripping, that's your signal the rotation is exhausting itself.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

**CONVICTION:** 7/10 — high-quality business at a reasonable price getting sold for macro reasons, not company reasons. That's usually a good setup, but I'm not pounding the table until the slide stops.

**POSITION SIZE:** 4-6% — core holding size. Big enough to matter, small enough that a 15% drawdown doesn't wreck you.

**ENTRY POINTS:** Start scaling in here at \$262, add meaningfully at \$250, back up the truck sub-\$245 if we get there on macro fear.

**TIME HORIZON:** 12-24 months. The catalyst you're waiting for: an AWS quarter that shows AI revenue is finally showing up in the numbers, not just capex.

**WHEN TO BAIL:** AWS growth decelerating two quarters in a row below 15%, or retail operating margin compressing meaningfully — those are the real signals the story is broken.

**HEDGING:** Simplest hedge is just keeping some cash on the sidelines to average down. If you want portfolio protection, buying a put on the QQQ (Nasdaq ETF) covers you cheaper than hedging AMZN directly.